MODULE 08 · CLASS SLIDES

Product Launch, Growth and Monetisation

Varun Kumar · SkillNavora

Prepared for Skillnavora · Learn. Practise. Implement. Grow.

Product Management Roadmap

PHASE 1
CRAFT
Modules 1–4

1. Fundamentals of Product Management
2. Product Strategy & Strategic Thinking
3. Problem Discovery, Market & User Research
4. Problem Framing & Prioritization

PHASE 2
CRAFT + AI
Modules 5–8

5. UX & Design Collaboration
6. Effective Communication as a PM
7. Analytics & Metrics
8. Product Launch, Growth & Monetization
   WEEK 8

PHASE 3
DEEP AI
Modules 9–13

9. Tech 101 & System Design
10. LLMs, RAGs & AI Foundations
11. Vibe Coding for PMs
12. Agentic AI & AI Systems in Production
13. Capstone Project & Interview Prep

Today:

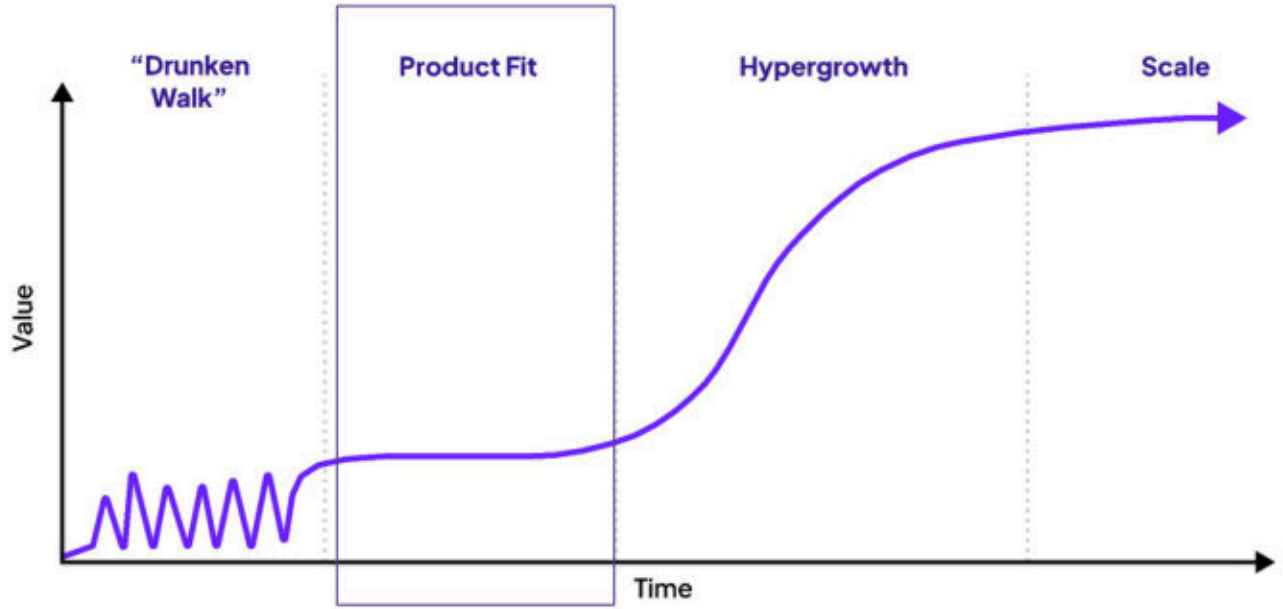
1. Product Market Fit (PMF)
2. Minimum Viable Product (MVP)
3. Experimentation

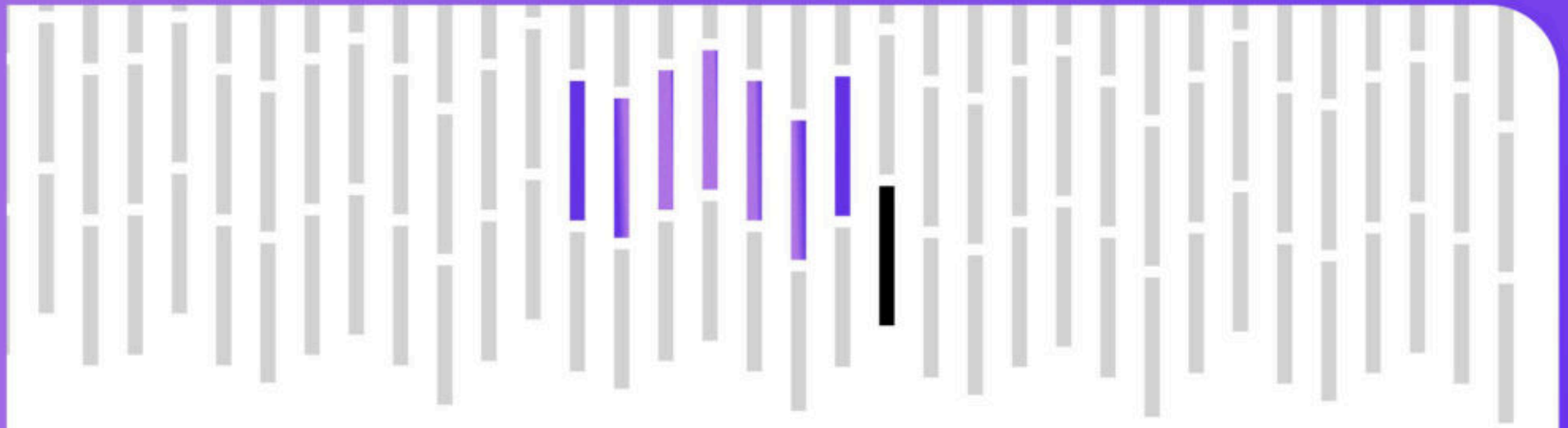
Tomorrow:

1. Scaling
2. Product Led Growth (PLG)
3. Monetization

Journey of a Product

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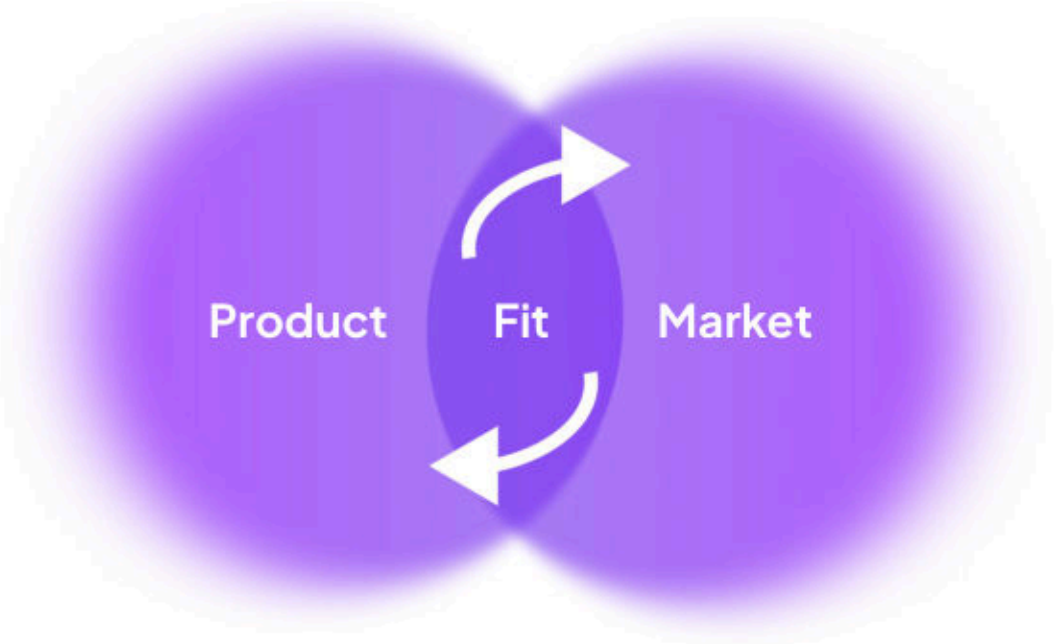
Part 1

Product Market Fit (PMF)

Prompt:

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What do you understand by the term Product-Market Fit or PMF? 🤔



PMF Definition

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1. Product/market fit is identifying a compelling value hypothesis – Andy Rachleff

> *"When you first start out, the only thing that matters is finding a cohort of customers who truly value what you offer. Growth alone means next to nothing."*

- Facebook was first meant to be used by Harvard university students to connect with each other
- Amazon started off by being a platform to buy books
- Zomato started as *FoodieBay* to serve employees of Bain & Company

PMF Definition

Airtribe

2. Product/market fit is when you build something that people want – Paul Graham

> *"Why do so many founders build things no one wants? Because they begin by trying to think of startup ideas. That m.o. is doubly dangerous: it doesn't merely yield few good ideas; it yields bad ideas that sound plausible enough to fool you into working on them."*

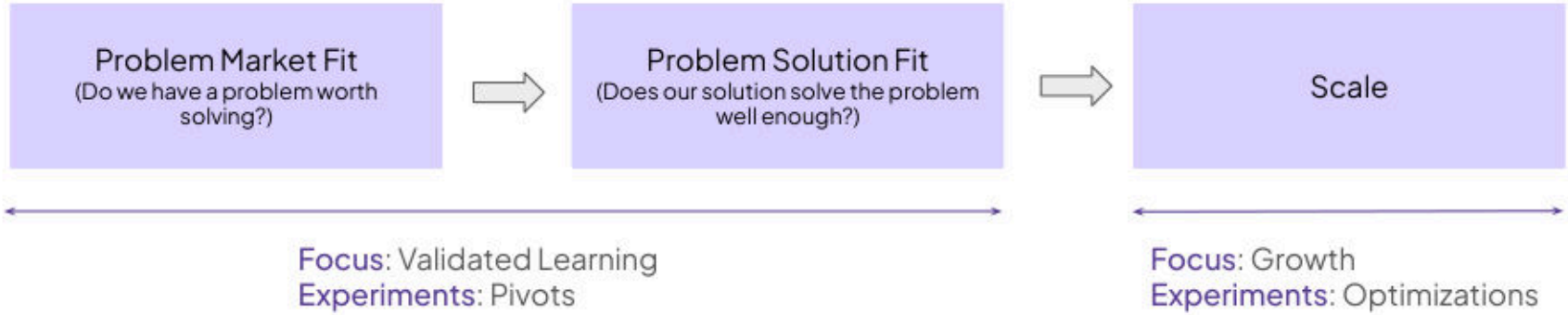
- Identifying a "deep well" ie a small set of users who deeply have the problem is what you should look for
- A social network for pet owners is often posed as a case study at YC of a shallow problem

More reading: https://paulgraham.com/startupideas.html

PMF Definition

Airtribe

3. Product/market fit is when you have the right solution to a problem that's worth solving – Ash Maurya



- Some products may go after the right problem but have the wrong solution approach: For example, Google Glass made use of very prominent cameras on bulky glasses (different from RayBan Meta glasses)

PMF Definition

Airtribe

4. Product/market fit is when users love your product so much they tell other people to use it – Sam Altman

> *"A startup that prematurely targets a growth goal often ends up making a nebulous product that some users sort of like and papering over this with 'growth hacking'. That sort of works—at least, it will fool investors for a while until they start digging into retention numbers—but eventually, the music stops."*

- ChatGPT is the perfect example of a product that got super viral purely through word of mouth becoming the fastest product to get 100M users

Measuring PMF

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Metrics

- Retention
  - Flat retention curves for some cohorts
- Referral
  - High NPS scores
  - High viral coefficient
  - Long waitlist
- Revenue
  - High paid customer conversion
  - Quick revenue growth

What Superhuman did

- Surveyed users “how would you feel if you could no longer use the product?” and measured the percent who answer “very disappointed” which gives you the share of supporters – Popularized by SuperHuman (40% is the benchmark)

Framework for finding PMF (Superhuman Case Study)



- Segment your supporters and paint a picture of your high-expectation customers
  - Segment your users to find the one that has a higher share of supporters
  - Use that segment to identify a "persona" of the ideal segment
  - Asked users from other segments to no longer use the product
- Analyze feedback to convert on-the-fence users into fanatics
  - Analyzed user feedback to identify things stopping users from becoming supporters
- Build your roadmap by doubling down on what users love and addressing what holds others back
  - Did a simple cost benefit analysis to build a prioritized roadmap focusing half and half on deepening things supporters already love and things supporters miss
- Repeat the process and make the product/market fit score the most important metric
  - Superhuman grew their supporters from 22% to 58%

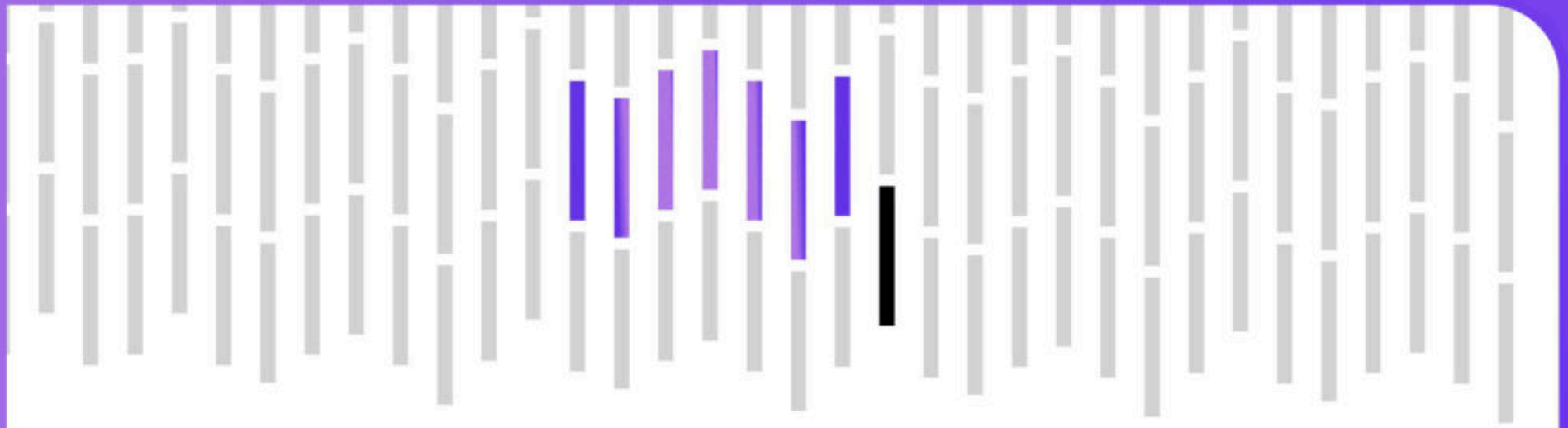
More reading: https://review.firstround.com/how-superhuman-built-an-engine-to-find-product-market-fit/

Prompt:

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Have these products achieved PMF? Why?





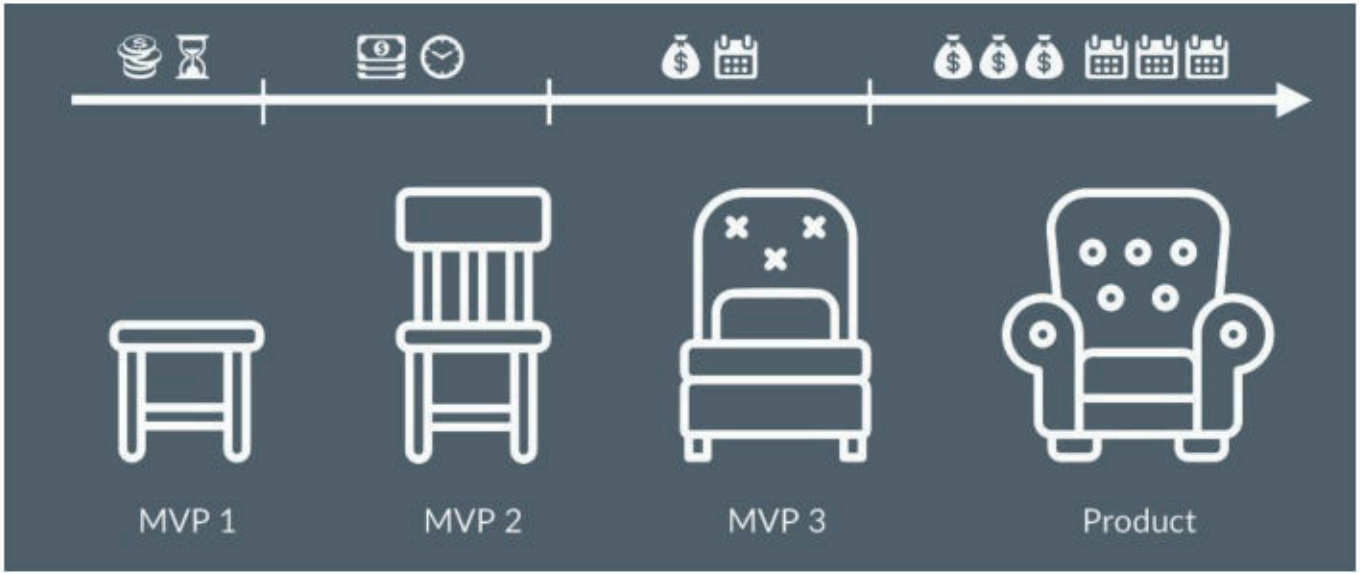
Part 2

Minimum Viable Product (MVP)

Prompt:

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What do you understand by the term Minimum Viable Product or MVP? 🤔



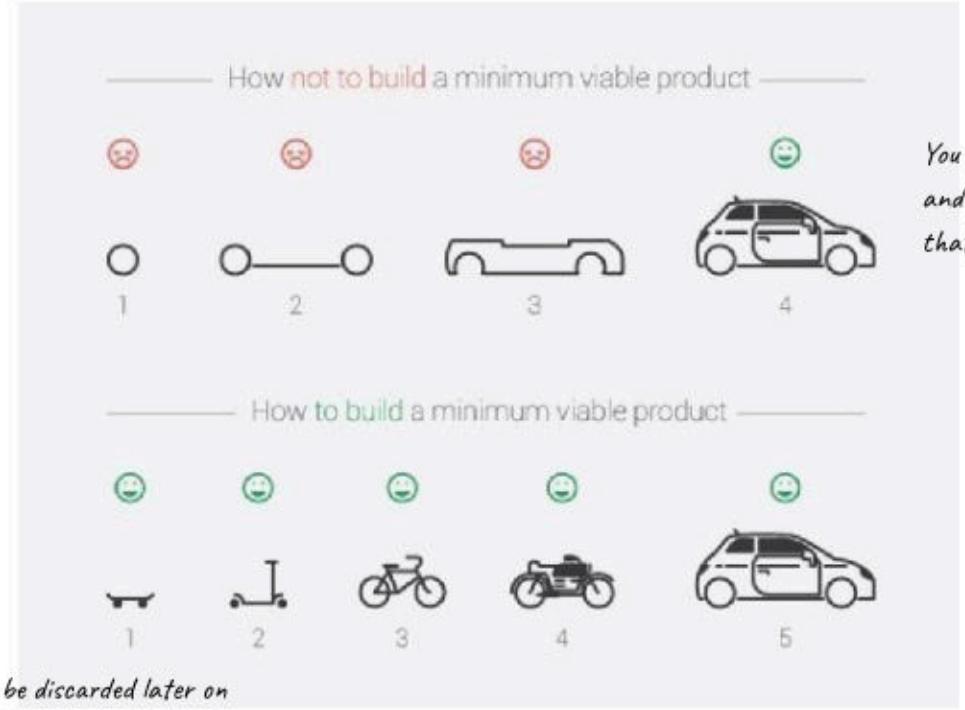
MVP Definition

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- The version of a product which allows you to collect the maximum amount of learning with the least amount of effort
  - In the MVP for Airbnb the founders listed their own home, which allowed them to get many learnings without having an inventory
- We need MVPs to learn quickly and pivot if necessary
  - Getting the product right in one go is near impossible, so you want to fail fast and pivot
  - The cost of building a product is rapidly going down with AI assisted development
- An MVP is not just a set of least effort features; the point of an MVP is to get learnings
  - An MVP is also not an excuse for a poor product

Incremental Development vs MVP

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You don't get any iterative feedback and directly produce a final product that may or may not work

You build parts that may be discarded later on but it lets you validate some hypotheses on your way to arriving at the final product

Defining an MVP

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- List the hypotheses that need to be validated
  - Make sure both problem/market fit and problem/solution fit hypotheses are included
- Prioritize the ones that need to be validated
  - Not all hypotheses are equally important to be validated through an MVP
- Build inexpensive solutions to test the hypothesis
  - Look to validate your hypotheses using existing data or user research as much as possible
  - Building and shipping something is the most expensive way of validating a hypothesis but also the most reliable way (AI based prototypes are very handy here)
- Ship and learn
  - Monitor the success metrics to (in)validate the hypothesis and course correct as needed

Defining an MVP – Exercise

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Swiggy wants to build an AI based recommendation system that suggests what users should order when they are not able to make up their mind. Define an MVP for this product.

List the Hypotheses

- Do users really struggle with ordering and how bad is this problem?
- Will users accept outside suggestions about what to order?
- Will users like the suggestions recommended by the app?

Defining an MVP – Exercise

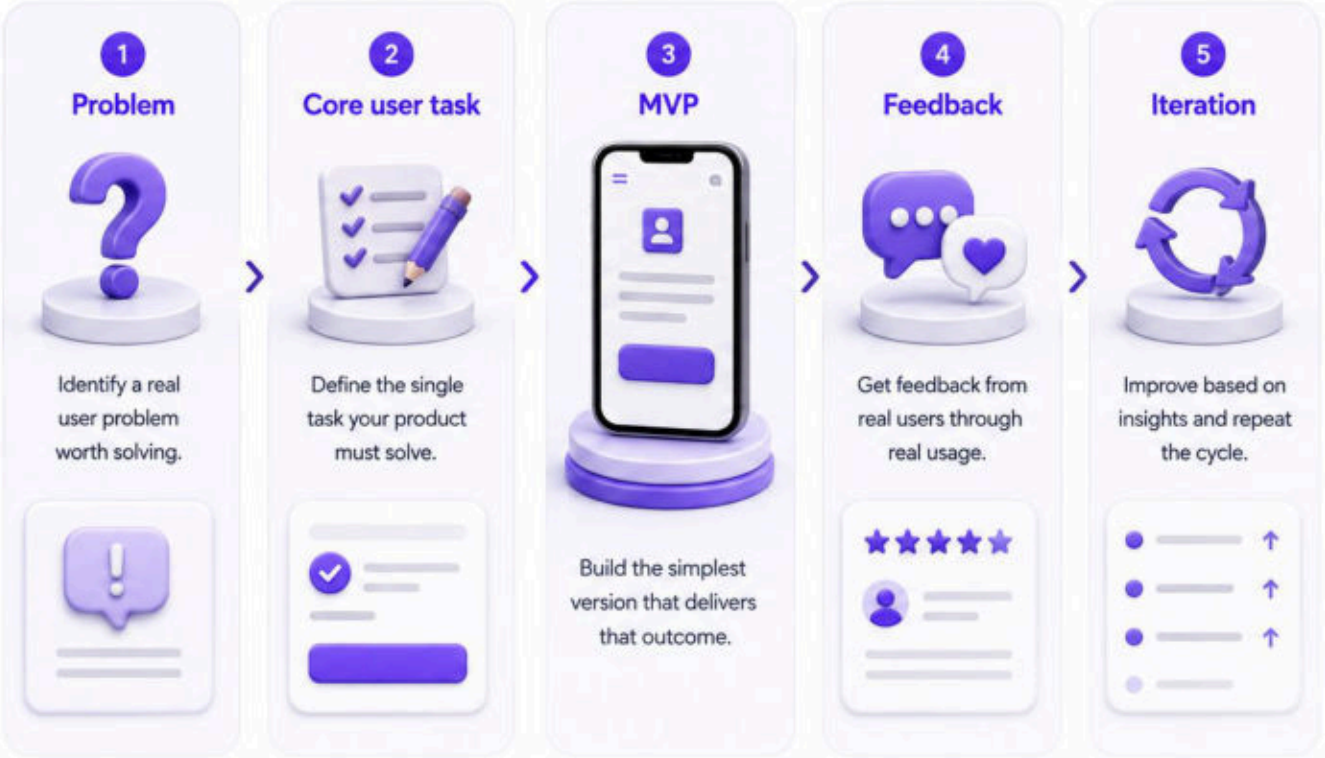
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- H: Do users really struggle with ordering and how bad is this problem?
  - Inexpensive solutions
    - Use data (delta in average user order time) and user research to validate this
    - Build a small widget that asks users if they are unable to make up their mind
  - Metric: # of users who accept
- H: Will users really accept outside suggestions about what to order?
  - Inexpensive solutions
    - Implement an LLM based chat solution that takes inputs from the user and recommends a solution
    - Simply recommend the top items being ordered by users in the area
  - Metric: # of users who accept the suggestion for both solutions. Keep in mind that a full fledged AI based recommendation solution can suggest better
- H: Will users like the suggestions recommended by the app?
  - Inexpensive solution: Implement an AI/ML based recommendation system for a small cohort where the model is known to perform well. Example: For users who have had 50+ orders and for dinner orders only.
  - Metric: % of users who accept the suggestion and place the order

Appendix

How to Deliver Products Faster with MVP Approach

Ship the smallest version that solves a real user problem and helps you learn.

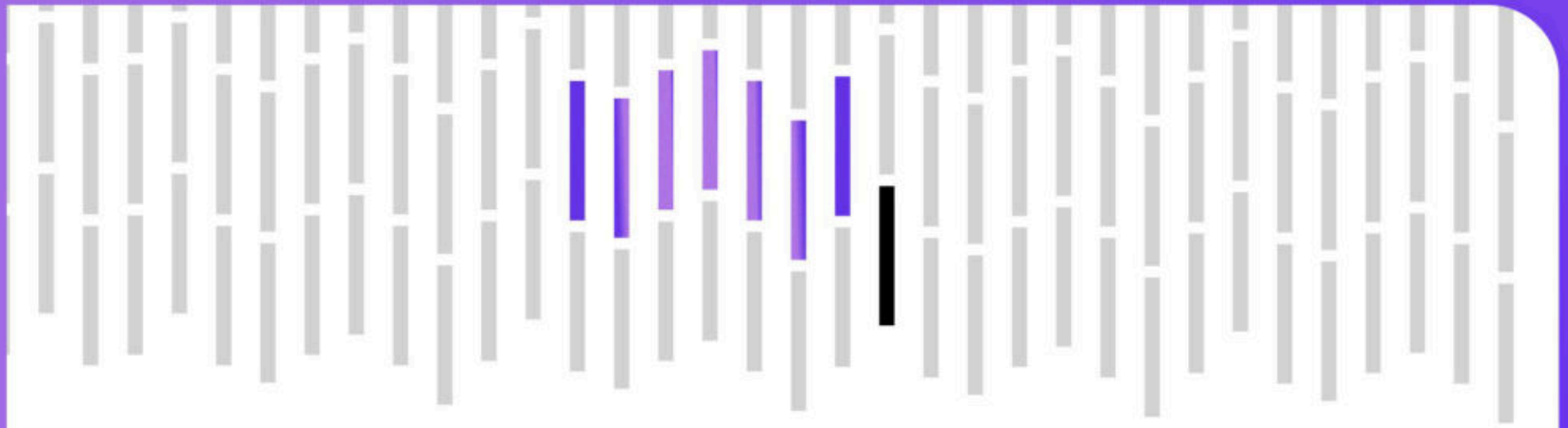


What belongs in the MVP?

- Solves one urgent problem
- Delivers one clear outcome
- Is testable with real users

What can wait?

- Nice-to-have features
- Scale optimizations
- Advanced edge cases



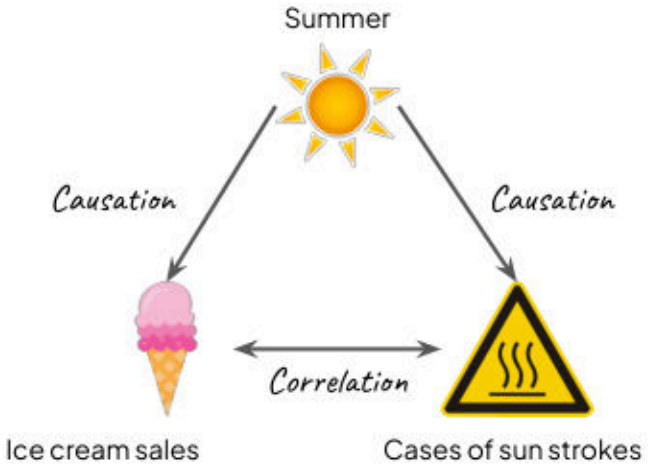
Part 3

Experimentation

Correlation vs Causation

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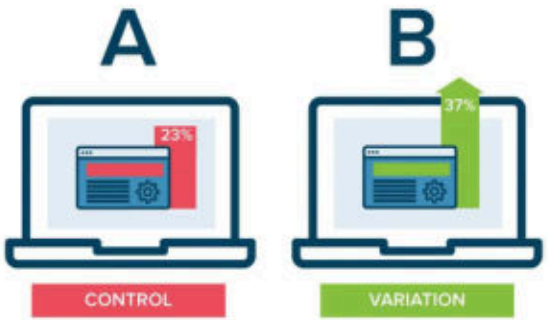
- Two events that seem to be affected by each other can either exhibit correlation or causation
  - Correlation occurs when there exists some observed relationship between the two variables
  - Causation occurs when one variable has a cause-effect relationship on the other
- Understanding which events show correlation vs causation could be the difference between going on a wild goose chase focusing on building incorrect features vs building the right product



AB Experiments

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- AB experiments are popularly used in software applying the principles of a randomized controlled experiment
  - They help establish a causal relationship between the product and the observed behavior change
- The steps involved in designing and running an AB experiment are
  - Forming a hypothesis: To know what to test for in the experiment
  - Determining the sample size: To know how many users to run the experiment on
  - Creating the random groups: To distribute all the variables across both groups
  - Running the test: To get the results



Forming a Hypothesis

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- A hypothesis is a statement that describes the causal relationship that needs to be tested
  - For example, Zomato users who receive a new discount code will place more orders in the long run
- The hypothesis also describes the population, treatment, and the outcome metric
- Population refers to the target users that will be eligible for the experiment, for example you might want to focus on a certain segment of users instead of all users
- The treatment is the product change that is being introduced
  - It is advised to keep treatment minimal to reduce confounding variables
- The outcome metric is the metric that we are interested in monitoring
  - It is closely tied to the success metric but can also be a metric that helps us validate the MVP
  - There might also be more metrics to be monitored, for example, guardrail metrics to ensure that the treatment doesn't introduce inadvertent effects

Determining the Sample Size

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- The AB experiment is run on a smaller sample of users instead of the entire population to limit the exposure of the treatment but have enough users to get a statistically significant learning
  - The sample size needed depends on a number of statistical factors
- Effect size
  - This refers to the potential effect that the treatment will have on the outcome metric
  - If the treatment is disruptive, it can have a larger effect. Similarly if the outcome metric is a leading metric, it will be more sensitive to the treatment. Larger the effect size, smaller the sample size needed
- Statistical significance level or p-value
  - This refers to the acceptable probability of falsely detecting the effect when it is non-existent
  - Smaller the p-value, larger the sample size needed. Theoretically, a p-value of 0 cannot be achieved so it is typically set to 0.05 or 95% confidence

More reading: https://www.invespcro.com/blog/calculating-sample-size-for-an-ab-test/

Creating the Random Groups

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- Creating random groups for treatment and control is the key to performing an unbiased test
- Be aware of biases that may creep into selection
- A bias may occur if the sample is not representative of the population
    - For example, picking a sample localized to a particular location
- Biases may also occur when users don't fall into the treatment and control groups in a purely random manner
    - The most common scenario is when the treatment allocation is conditional on a previous activity which can introduce a bias
    - In social products, users from treatment and control groups may interact with each other which may pollute the test

Running the Test

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- Run a sanity AB test by delivering a treatment that you know should have no change on the outcome metric and verify that there is no statistically significant change in outcome metric after the experiment
    - For example, change a settings page for the treatment and see if that impacts # of purchases made
- Run the actual test after verifying the sanity test
- Ensure the test is run for long enough to account for variations in usage patterns

AB Experiments – Exercise

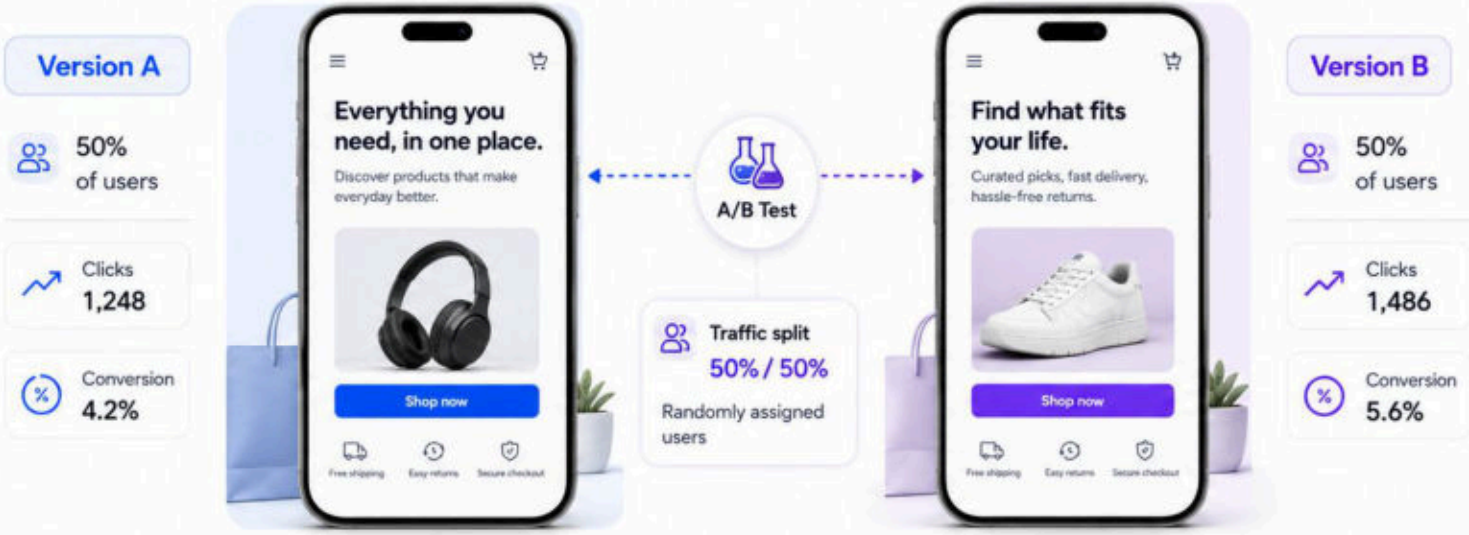
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- Design an experiment to determine if a new discount code for undiscovered / new restaurants on Zomato should be launched. Identify the hypothesis, population, and treatment. What are some things you can do to reduce the sample size required? What are some biases you should be careful of?

Appendix

A/B Testing for Smarter Launch Decisions

Use experiments to compare options before rolling out at scale.



Hypothesis
What do we expect to improve?
e.g., Increase sign-ups

Variable
What changes between A and B?
e.g., Headline, CTA, Image

Success metric
What are we measuring?
CTR | Activation | Conversion

Sample
Enough users for a fair read.
e.g., 10k+ users per variant

Decision
Ship, reject, or iterate.
Act on the results

Iterative Testing Cycle

Good product decisions come from fast learning loops, not one big bet.

1 Observe
Understand user behavior and customer feedback.

2 Hypothesize
Form a clear, testable idea for improvement.

3 Test
Run a small experiment to validate the idea.

4 Measure
Analyze results with the right metrics.

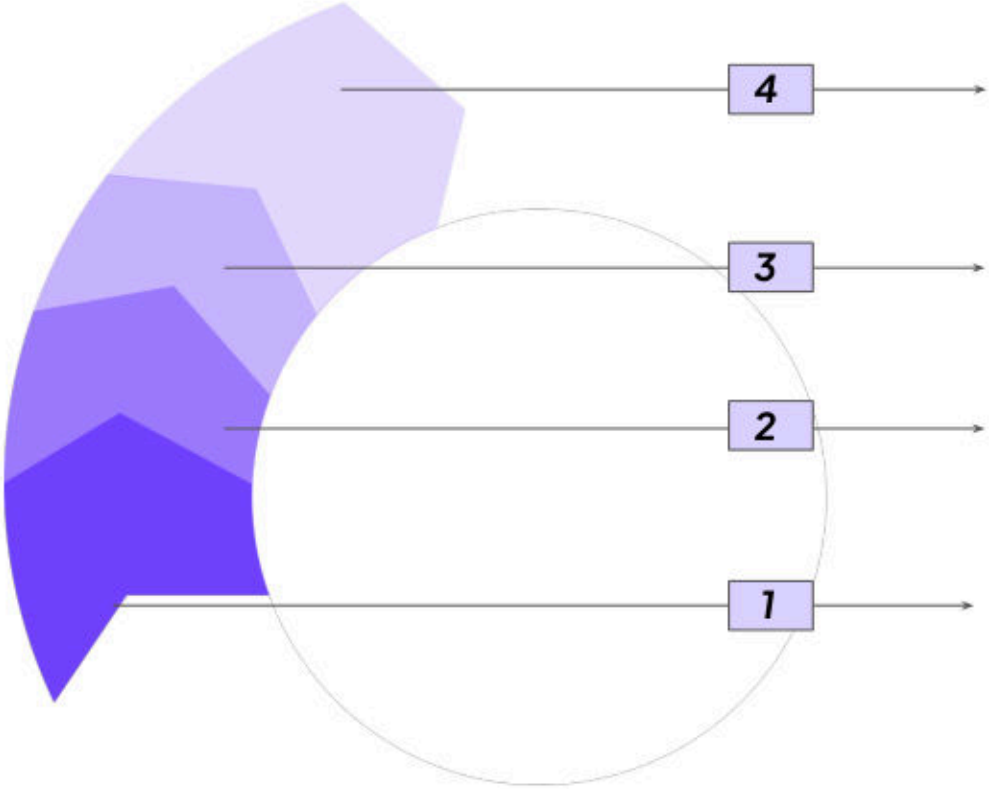
5 Learn
Capture insights and decide what to do next.



What teams often test

- Onboarding flow
- Pricing page
- Messaging
- Feature adoption

Experimentation Framework



Analyzing Experiment Results
Analyzing experiment results to extract the maximum amount of learnings.

Prioritizing MVT's
Prioritizing tests in a structured and methodical way.

Defining MVT
Translating a hypothesis to an efficient and valid test.

Defining Hypotheses
Defining well structured hypotheses around key problems

Product Launch Checklist and GTM Strategy

A launch works when product readiness and go-to-market readiness move together.

Launch checklist

- Core value works
- Key bugs resolved
- Support ready
- Analytics in place
- Success metric defined



GTM plan

- Target segment
- Positioning
- Messaging
- Channel plan
- Launch metrics

1. Who
2. Why now
3. How we launch
4. How we measure

Thank you

Yesterday:

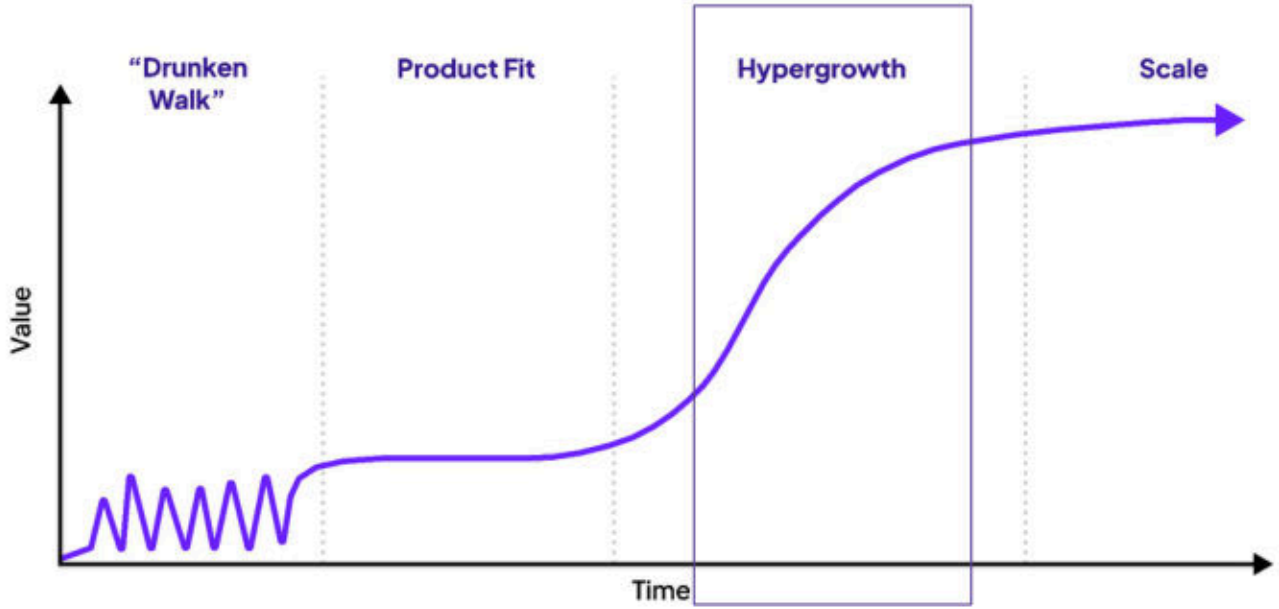
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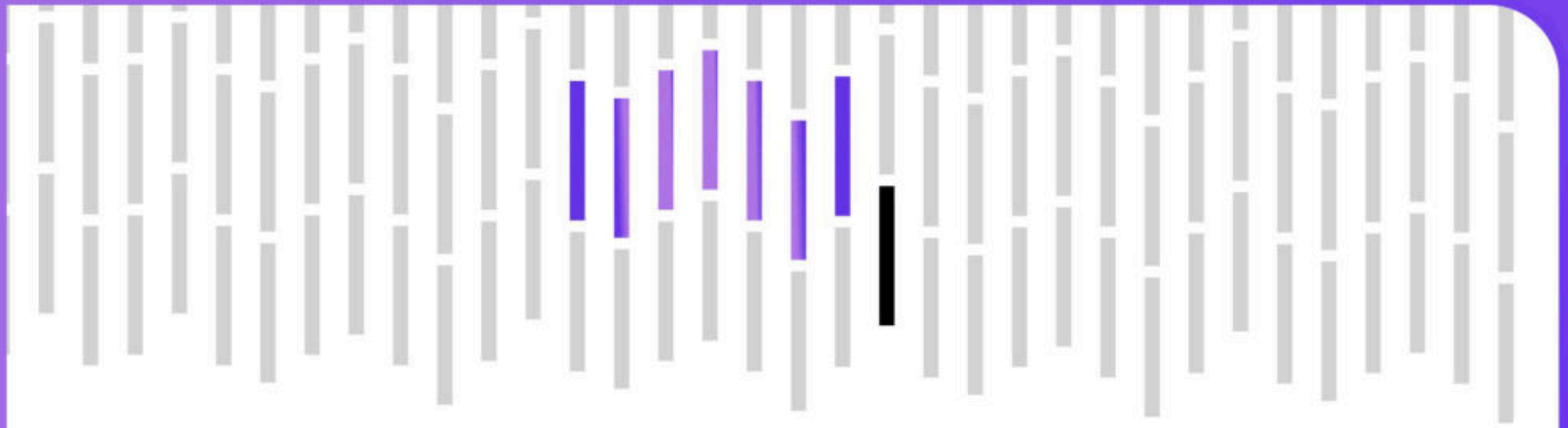
Today:

1. Scaling
2. Product Led Growth (PLG)
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Journey of a Product

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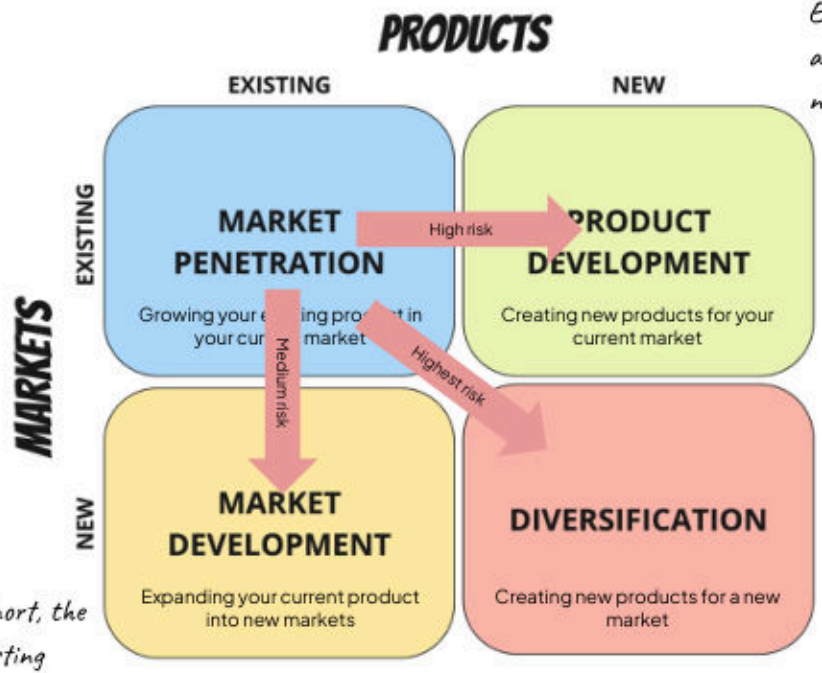


Part 4

Scaling

Product / Market Expansion Grid

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Eventually, you want to launch new products or add new product lines to cater to existing and new markets

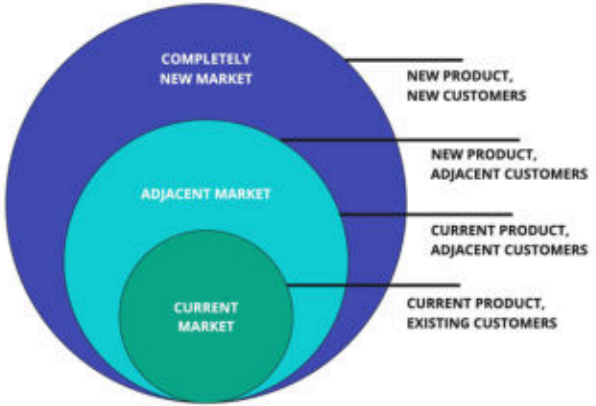
After achieving PMF in a narrow cohort, the low risk strategy is to deepen the existing market and then move to new markets, starting with adjacent ones.

Product / Market Expansion Grid

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- Leverage your strategic assets / competitive advantage to define your growth / expansion strategy
    - Brand, technology, cross functional team, customer base, data, etc. are some examples of strategic assets

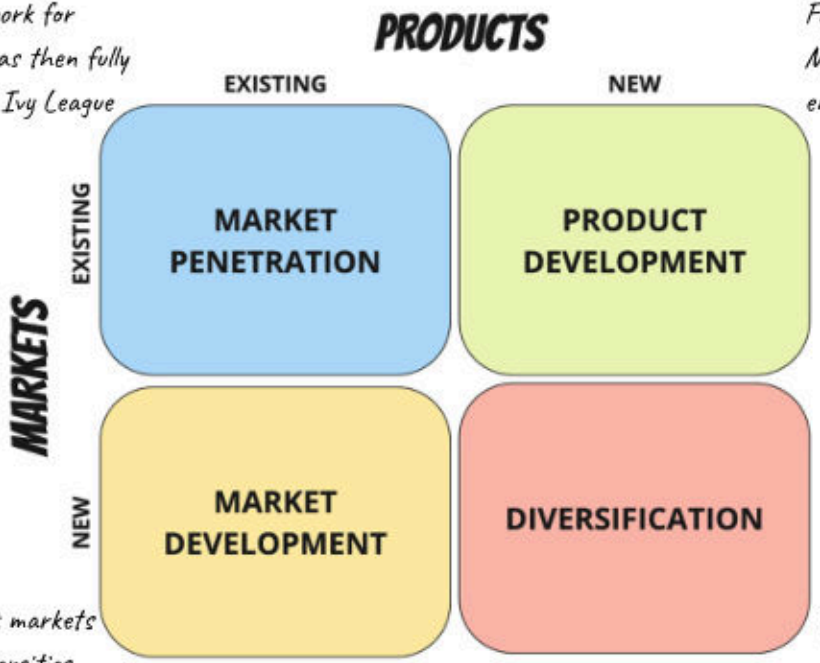
- Amazon Example
    - (1995) Online bookstore (Current Product, Existing Customers): Was easy to start due to standardized products, low shipping costs, etc.
    - (1998) Added Media, Electronics, Toys categories (Current Product, Adjacent Customers): After perfecting ecommerce operations, Amazon could easily expand to new categories with the same product
    - (2000) Third Party Marketplace (New Product, Adjacent Customers): Created a new line of seller side products and opened up to third party sellers
    - (2006) Cloud Infrastructure (New Product, New Customers): Externalised their scalable internal IT infrastructure to meet cloud infra needs of other companies



Product / Market Expansion Grid – Example

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Facebook started as a social network for Harvard students. This market was then fully penetrated by expanding to other Ivy League schools and US colleges



Facebook added new product lines like Groups, Messenger, Marketplaces, etc. to deepen engagement with existing markets

Facebook first tapped into adjacent markets like high schools, international universities, and corporate networks (which were easy to bootstrap), before opening up to general public

Facebook Workplace catering to enterprise scenarios

Product / Market Expansion Grid – Exercise

Airtribe

- Urban Company today is the go to product to avail expert professional services at home. Chart out a growth plan for them in terms of markets and product expansion.

Distribution



Justin Kan
@justinkan

First time founders are obsessed with product.

Second time founders are obsessed with distribution.

2:03 AM · Nov 7, 2018

7,120 Likes **1,797** Retweets

Product Distribution Channels

Direct

The company controls the end-to-end sales and delivery process

- **Product Led / Direct Digital Downloads:** Users discover software directly on the company's website or via a cloud-hosted web app (SaaS). **Examples:** Slack, Zoom, Canva.
- **Company Owned Direct Sales (Enterprise B2B):** An internal sales team pitches and closes deals directly with enterprise buyers. **Examples:** Salesforce, Workday, Snowflake.
- **Direct-to-Consumer (D2C):** Physical devices are sold directly to end customers through brand websites or retail stores. **Examples:** Apple Stores, Shopify Website

Ecosystem

Leverage existing platforms, networks, or middle agents

- **Digital App Stores & Marketplaces:** Discover through Mobile App Stores, Cloud Marketplaces, Platform Marketplaces etc.
- **Resellers & System Integrators:** Third-party IT consulting firms package your software/hardware with their own implementation. **Examples:** Accenture implementing enterprise software like SAP or Oracle
- **Affiliates & Influencers:** Creators, bloggers, and review sites promote products via tracking links in exchange for a commission per signup or sale. **Examples:** NordVPN

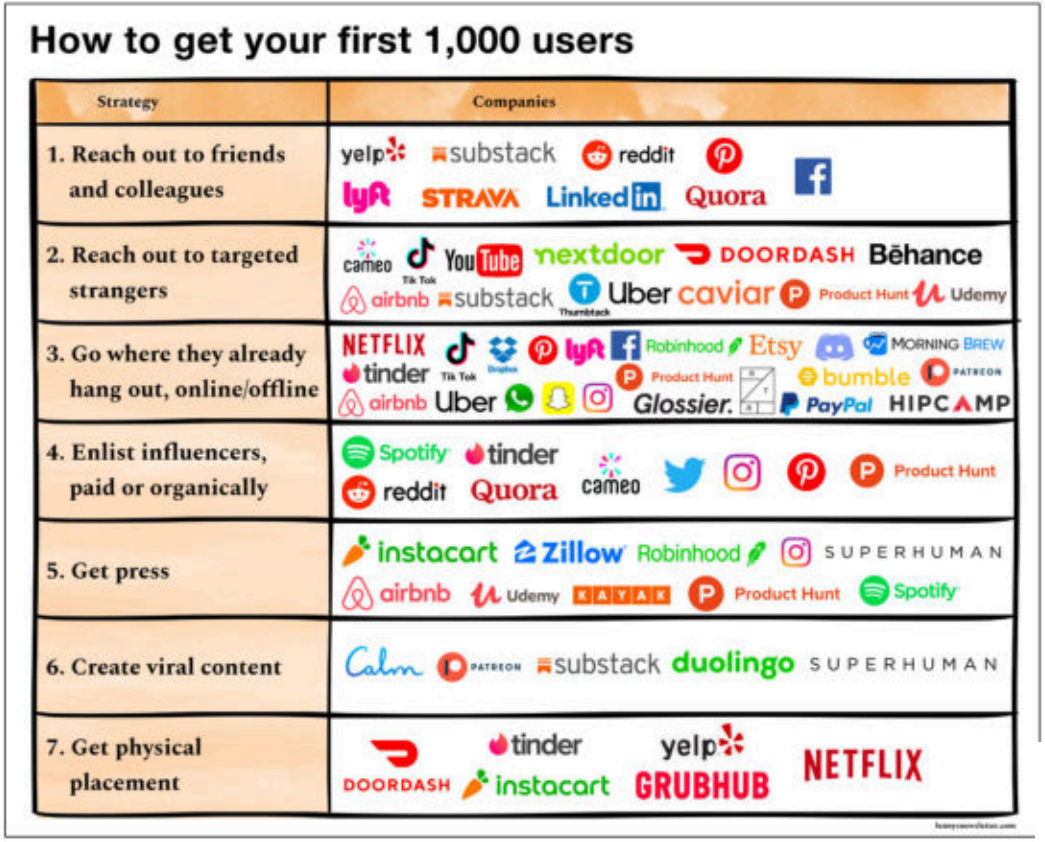
Partnerships

Integrate your technology directly into another product or workflow

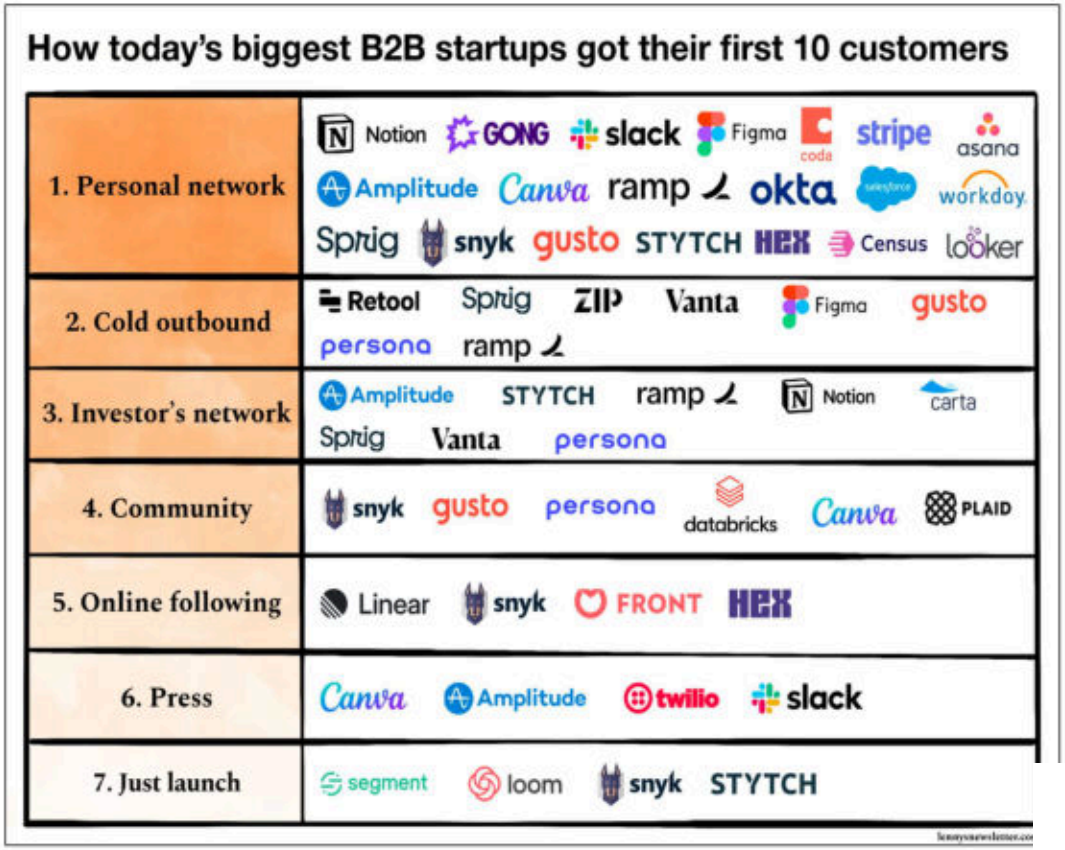
- **OEM & Bundling:** Product comes pre-installed or pre-configured inside another vendor's product. **Examples:** Truecaller or Google apps pre-installed on Android smartphones.
- **API / Infrastructure Partnerships:** One tech platform embeds another tool's core engine via API behind the scenes. **Examples:** Google Maps powering Swiggy
- **Telecom & Carrier Partnerships:** Telecom operators bundle software subscriptions into monthly mobile data plans. **Examples:** Airtel bundling Netflix subscription

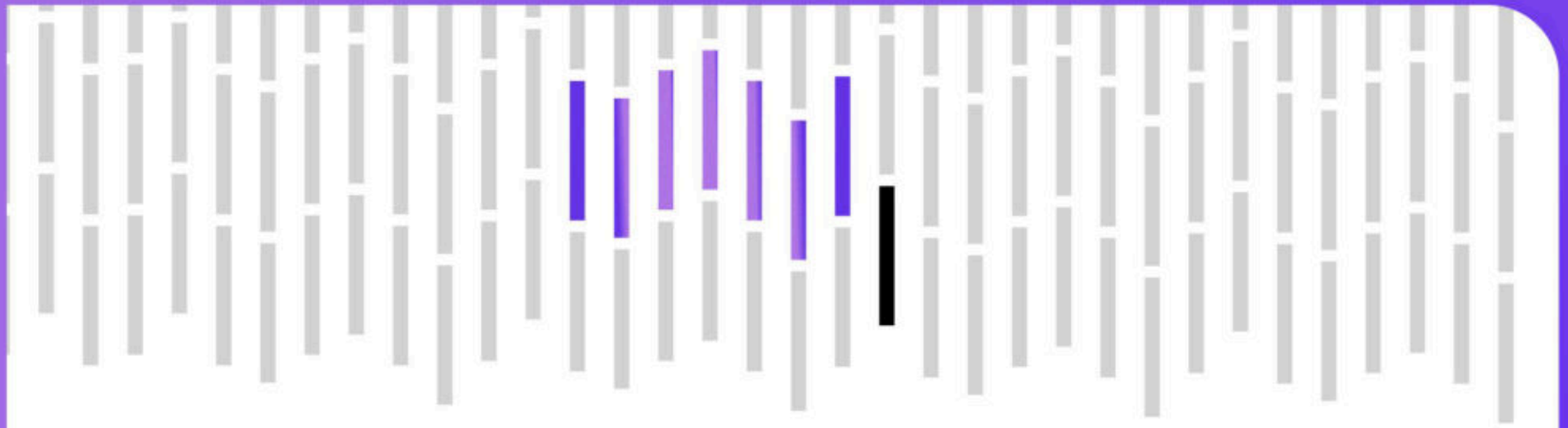
Appendix

Acquiring Early Customers – Consumer Products



Acquiring Early Customers – B2B Products





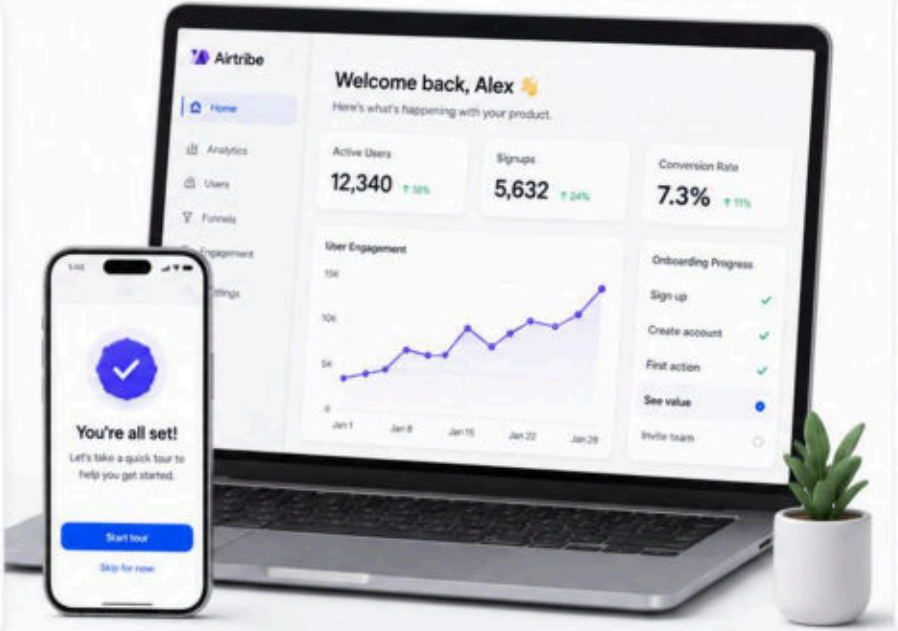
Part 5

Product Led Growth (PLG)

What is PLG

The product becomes the main way users discover value, adopt, and expand.

PLG is a go-to-market approach where the product drives **acquisition**, **activation**, **conversion**, and **expansion**.



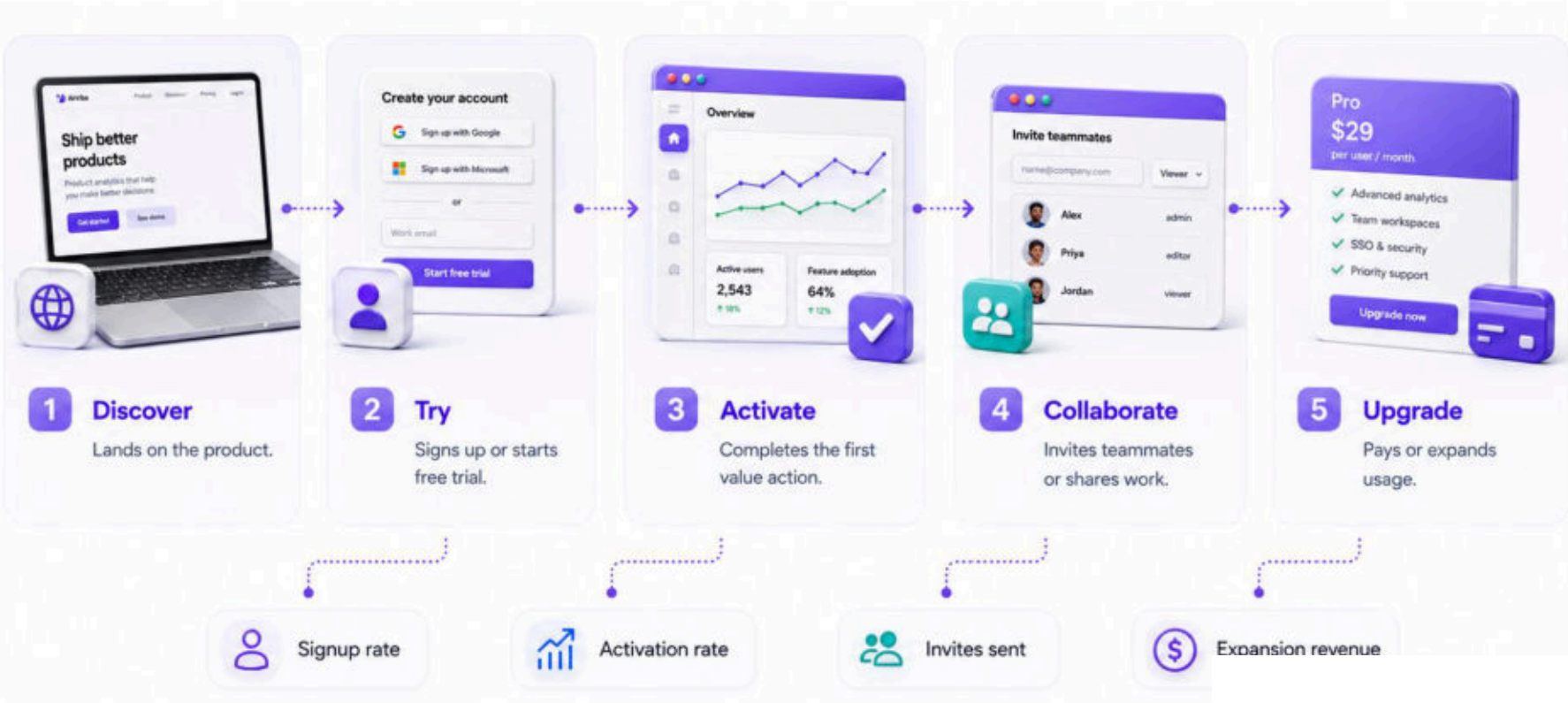
Self serve entry
Users sign up and start without talking to sales

Fast time to value
The product delivers value quickly and clearly

Growth through loops
Loops build habits and acquire new users

Sales assist later
Sales support users when they're ready to buy

PLG Journey – B2B SaaS Example



Cross Functional Impact of PLG

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The Product becomes central to executing the GTM strategy for cross functions like sales, marketing, customer success, operations, etc.

Sales

- Sales can focus on Product Qualified Leads (PQLs) who have demonstrated interest or intent through product usage.
- Example: Slack Sales will reach out to customers that are close to reaching their free limits

Marketing

- Marketing can leverage user generated content (UGC), in-product communities, viral content, etc.
- Examples: Tiktok has their logo on all videos which then gets shared across different social media. Spotify Wrapped creates content that users look forward to share with friends

CS

- Support can primarily be self serve which reduces support ticket volume and focus on proactive real time scenarios.
- For example, payment apps have added in app guidance to warn users against potential fraud. Shopping apps call a user if they believe they are facing issues leading to abandoned carts

Operations

- Operations have access to real time valuable data and deep product integration.
- Examples: Quick commerce companies are able to offer grocery deliveries in minutes by using user order data. Apparel ecommerce have reduced returns by leveraging AR tools

Advantages of PLG

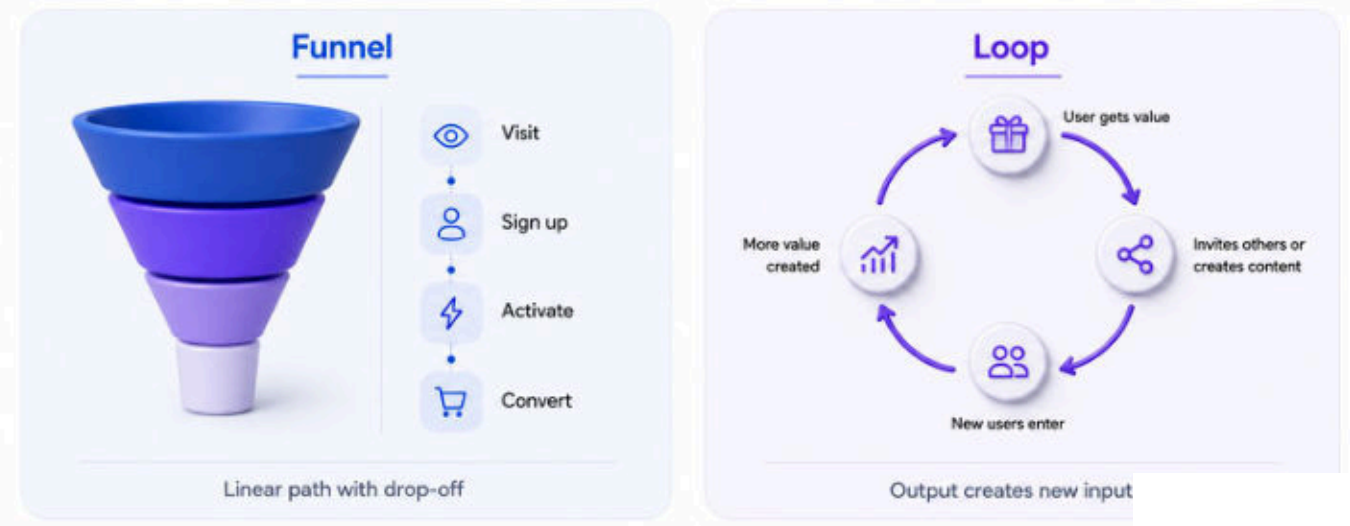
Airtribe

- **Better organizational efficiency**
  - All functions work through the product to land growth, forcing them to align better.
  - For example, Whatsapp had 55 employees, mainly engineers, supporting half a billion users.
- **Stronger growth engine**
  - The growth funnel can become leaky if done in silos. For example, Sales may convert a customer by promising value that is not present. That user is bound to churn soon.
  - PLG supports a self sustaining flywheel that can give exponential growth.
- **Lower CAC**
  - Because the product itself does a lot of the selling and marketing, the cost of acquiring a customer lowers.
  - For example, Shopify achieved a 40–60% reduction in CAC after adopting easier onboarding.
- **Quicker Time to Value**
  - Users "activate" faster because their onboarding journey is more tailored to tl
  - For example, Duolingo activated users faster using a gamified onboarding pr

Growth Loops

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- Growth Loops are closed systems designed to ensure every input goes through a series of predefined steps to generate an output which is then reinvested as an input
- Growth loops can help bring new users or retain existing users
- Thinking about users going through growth loops is more powerful than going through funnels



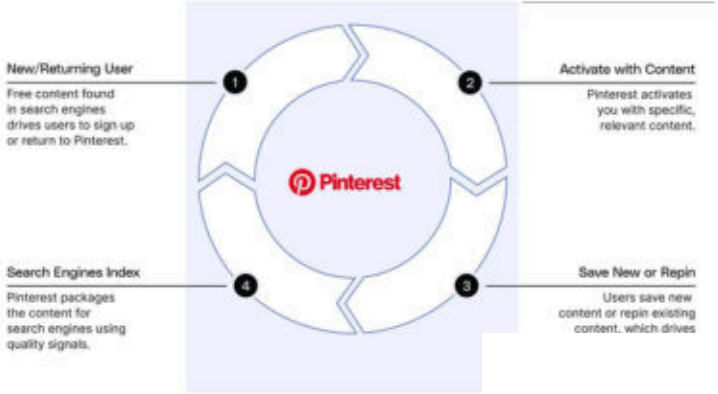
Growth Loops – Get New Users

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- **A viral growth loop** is executed through attention, word-of-mouth, or referrals. Users find a product useful or entertaining and share it with others through in product means.
    - For example, Venmo offers a referral bonus when a friend you refer joins the product. Similarly, LinkedIn asks you whether you want to send an invite to all your contacts who are not on LinkedIn yet.
- **A UGC growth loop** relies on user generated content to draw new users in
    - For example, all social media require users to create some content. If quality content is created, that draws new users to the platform via search engines or cross posts



Viral Growth Loop



UGC Growth Loop

Growth Loops – Retain Existing Users

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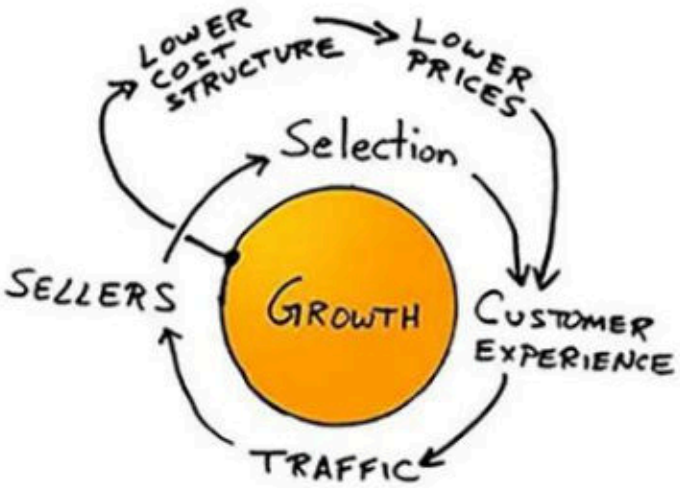
- **The Hook Model**
  - The hook model uses a growth loop that relies on providing the user with a variable reward in response to their action which in turn elicits an investment from the user
  - This model forms the basis of habit forming products which have high retention
  - For example, with Tiktok the user gets a dopamine rush (variable reward) by watching content (action). The user then likes/shares content (investment) which further personalizes the feed for them (new/improved trigger)



Growth Flywheel

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- **A growth flywheel** is a superimposition of growth loops that once set up can lead to growth with high momentum
- For example, Amazon has a growth loop starting from a good customer experience → More customers → More sellers → More product options → Better customer experience. The second growth loop is More customers → Lower cost structure → Lower prices → Better customer experience → More customers



Product Led Growth – Exercise

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- What are some PLG interventions that Swiggy can make to drive growth. Make sure to include growth loops and flywheels.

Appendix

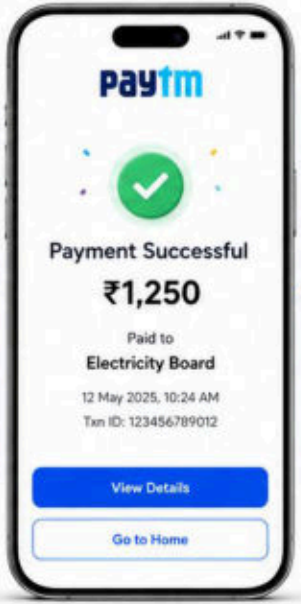
Paytm: First Payment Is Not a Habit

The first transaction proves utility. Repeat behavior proves habit.

PM Problem

Many users complete one payment but do not return soon enough to form a habit.

User exits



User takes next action

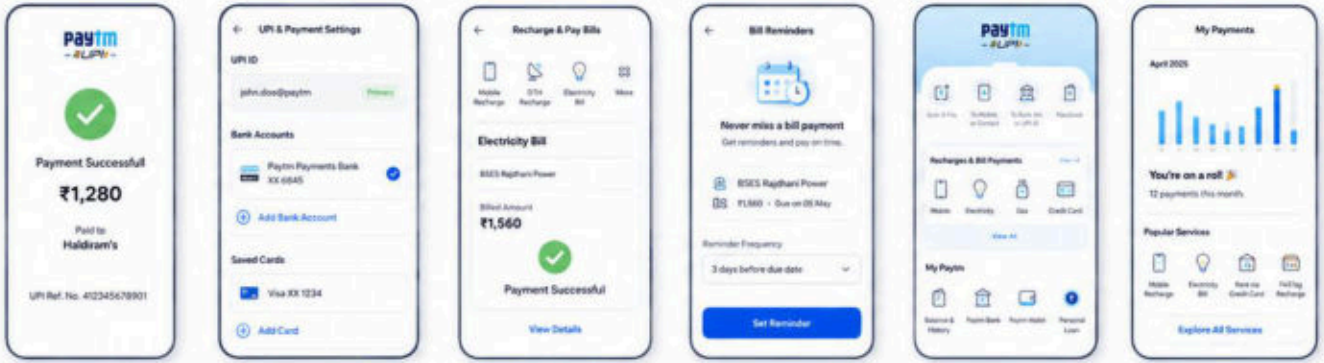
1. Set bill reminder
2. Save payment method
3. Pay another bill
4. Scan QR again

PM lesson: Growth in B2C fintech depends on repeat usage, not just first transaction.

From Transaction to Habit

The challenge is not just payment completion. It is repeat behavior.

1. First transaction completed
2. Save payment method or UPI preference
3. Second use case paid
4. Set bill reminder
5. Use Paytm again within 7 or 30 days
6. Repeat monthly usage



Possible User Segments

- Utility users
- Merchant payment users
- Deal / reward seekers
- Financial service explorers
- Occasional users

Drop-off Points

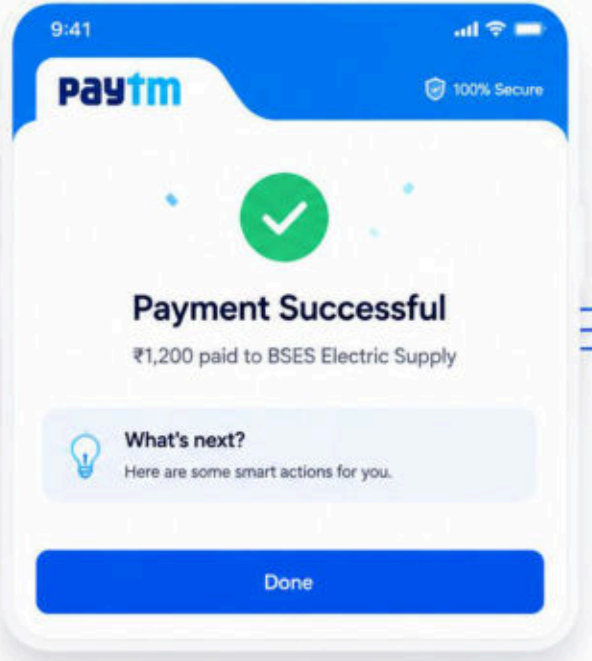
- One transaction and no reason to return
- Too many services create choice overload
- Rewards drive one-time behavior only
- Another UPI app is default
- Trust is needed for higher-stakes products
- Next best action is unclear

Metrics to Track

- First transaction completion
- Second transaction within 7 days
- Repeat payment frequency
- Monthly active transacting users
- Bill reminder
- Cross-use-case

Paytm Solution:
Next Best Action

Use smart prompts after payment to drive the next behaviour.



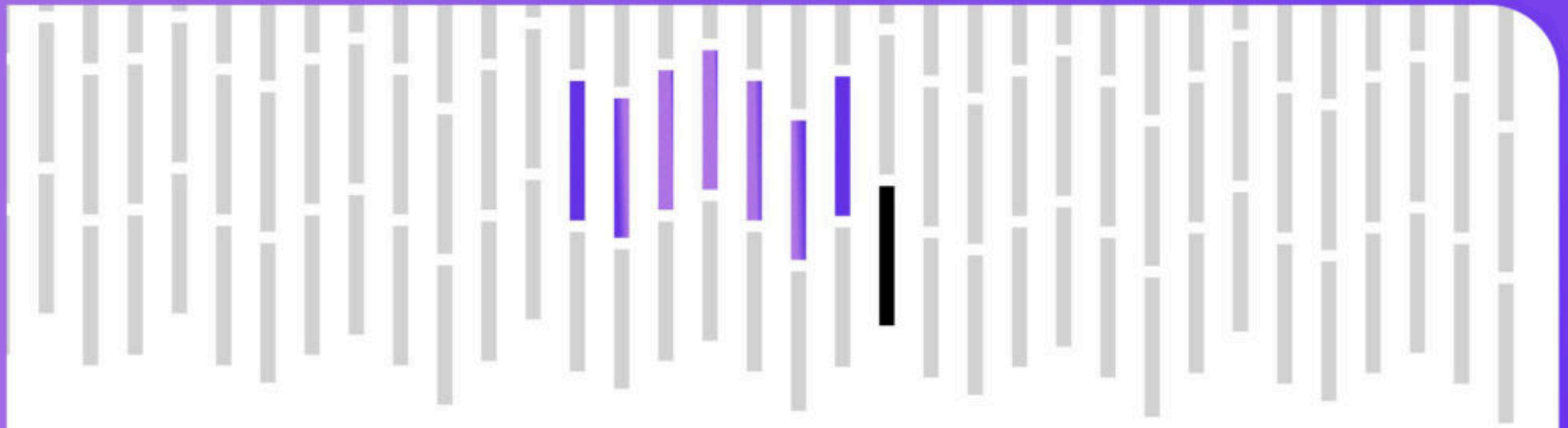
Contextual prompts

Set bill reminder
Get reminded before your next due date

Save payment method
Pay faster next time

Pay electricity bill
Pay another bill in seconds

More repeat usage



Part 6

Monetization

Monetization

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Revenue Model

- Describes the method or process using which the business intends to extract money from the market
- It captures how the money flows from the paying customer to the business
- For example, one of the revenue models of YouTube is to use advertisements

Pricing Model

- Describes how much a business should charge for its product or services
- For example, YouTube Premium is priced at Rs 149/month to make it competitive with Netflix

- A product can have multiple revenue and pricing models depending on the users that the product wants to monetize
- The revenue and pricing models chosen by a product are deeply died to product and business strategy

Revenue Models

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- **Transaction based**: These models generate revenue from individual transactions, earning a percentage or a fixed fee on each transaction
- **Subscription based**: These models generate revenue from recurring payments in exchange for access to the product over a period of time
- **Ads based**: These models generate revenue from advertisers who are charged for displaying their ads to end users
- **Other**: Other revenue models that may also include hybrid forms of revenue generation

Transaction based Revenue Models

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- **Direct Sales**: The company is directly selling goods or services to the end customer who is paying for it. Example, D2C companies or phone manufacturers
- **Fees or commissions**: The company is enabling the selling of goods or services to the end customer by charging a flat or percentage fee either to the seller or the consumer. Example, marketplaces or aggregators
- Transaction based revenue models work well when purchases are infrequent or irregular and/or when sale value is high



Direct Sale D2C product



Direct Sale of MS Office

Prior to April 1, 2024		
Storage month	**Standard-size**	**Large bulky / Extra-large (previously called oversized)**
January-September	$0.87 per cubic foot	$0.56 per cubic foot
October-December	$2.40 per cubic foot	$1.40 per cubic foot

April 1, 2024, and after		
Storage month	**Standard-size**	**Large bulky / Extra-large**
January-September	$0.78 per cubic foot	$0.56 per cubic foot
October-December	$2.40 per cubic foot	$1.40 per cubic foot

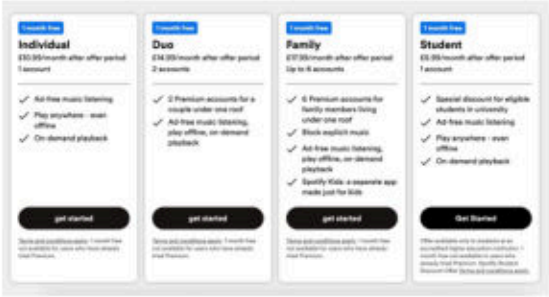
Amazon FBA fees

Payment	
$140.97 x 3 Nights	$422.90
Cleaning Fees	$80.00
Special offer	-$29.00
Airbnb Fees	-$14.22
You earn	**$459.68**

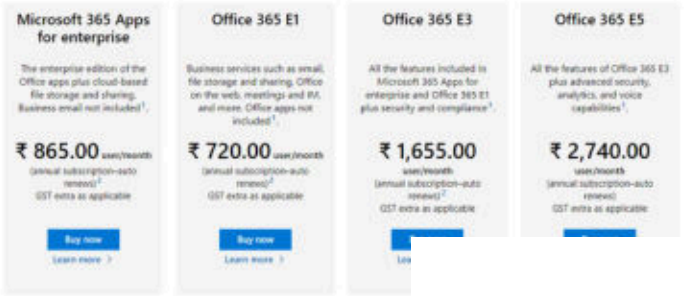
Subscription based Revenue Models

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- **Fixed rate subscription**
  - Customers pay a fixed recurring fee for access to the product or service. The subscription could have a single flat rate or with tiers where each tier has a different offerings.
  - For example, Adobe Express has a flat rate subscription for its single offering whereas Netflix has a tiered subscription based on video quality and concurrent screen usage needs
- **Variable rate subscription**
  - Customers pay a variable recurring fee for access to the product or service, often tied to degree of usage
  - For example, AWS has a pay-as-you-go model where you pay for the resources consumed
- The **Freemium model** is a subscription based model with a free tier while charging users to use advanced features that unlock full value
  - The key to getting the freemium model right is to provide sufficient value in the free tier (while not incurring heavy costs) while ensuring there is enough incremental value in the paid tiers



Spotify fixed rate subscription tiers



Microsoft Office pay-as-you use

Ads based Revenue Models

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- **Cost Per Click (CPC)**
  - Advertisers pay each time a user clicks on their ad
  - This is well suited for search engines, apps with high traffic, and platforms with targeted advertising capabilities where clickthrough rate can be high
- **Cost Per Mille (CPM – Cost Per Thousand Impressions)**
  - Advertisers pay for every 1000 times their ad is displayed
  - This is well suited for apps with brand awareness campaigns, apps with high traffic, and video platforms where impressions are of higher quality
- **Cost Per Action (CPA)**
  - Advertisers pay when a user completes a desired action – For example, Purchase, Signup, Lead form submission, etc.
  - This is well suited for apps that provide performance based marketing, affiliate marketing, lead generation where CTA completion can be high
- Ads based revenue models allow a company to provide products without making the end customer pay for them and instead monetizes the customer's attention/intent. This requires high volume usage to be sustainable

Other Revenue Models

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- **Data and API based**
  - Data licensing/sales: Selling access to datasets, aggregated data, or anonymized user information from companies with valuable proprietary data – For example, Bloomberg or Gartner
  - API access fees: Charging developers for access to APIs, often with tiered subscription – For example, Google Maps for location services and Twilio for messaging services
- **Donations or Crowdfunding**
  - Relying on voluntary contributions from users or supporters which is well suited for open source projects or non profit initiatives – For example, Wikipedia
- **Razor and blade**
  - Selling a durable product (the "razor") at a low price or even at a loss, and generating recurring revenue, through subscriptions or otherwise, from the sale of complementary consumable products (the "blades")
  - Works well for products with repeat-purchase consumables – For example, Printers and ink cartridges

Choosing the Right Revenue Model

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- **Understand the value proposition being offered to the customer segment**
  - Clearly articulate the value being offered to the customer and evaluate if it is something that the customer (end user or others) is willing to pay for
  - If the value isn't sufficient, explore changes to the product to add value
- **Understand the usage patterns of the customer segment and when/how value is derived**
  - Does the customer have one time usage, or repeat usage patterns, and if repeat usage, is it regular or irregular and is there consistently regular value derived
- **Choose a revenue model that maximizes revenue and supports the business strategy**
  - Pick the right revenue model accordingly

Revenue Model – Exercise

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- What are the revenue models used by Google Maps

User	Revenue Model	Rationale
Consumer	Ads based (both in Maps & Search)	Consumers have frequent and high usage patterns and can be monetized well with Ads. Also user data from frequent usage makes the overall product better.
Merchant	Subscription (Freemium)	Merchants who invest in Maps get consistent value from it. However, a free tier is needed to demonstrate value upfront.
Auto makers	Transaction / Subscription	One time deals with auto makers to include Google Maps in the vehicle. Could also be subscription based with increased value.
Developers	Subscription (API based, Freemium)	API calls based subscription pricing so developers pay for the scale they have. Include a freemium tier since variable cost is low.

Take home assignment – Week 8

1. Airbnb's goal is to build an end to end travel platform, focusing on accommodations, local experiences, and trip logistics. Cultivating personal connections and community between hosts and guests rather than impersonal hotel stays is a key element of Airbnb's positioning.
2. Build PLG led initiatives for Airbnb to help drive more growth in India. Focus on both, 1. Helping cross functions (sales, marketing, support, operations, etc.) succeed in driving growth and 2. Building product embedded growth loops and flywheels driving news and existing user retention
3. For any substantial features proposed in #2, design an MVP. Make sure to include the hypotheses / assumptions being tested, the inexpensive prototypes / solutions that will be built, and measures of success
4. Lastly, design a new or update the existing revenue model that can help it better monetize users in India

Appendix

Pricing Models

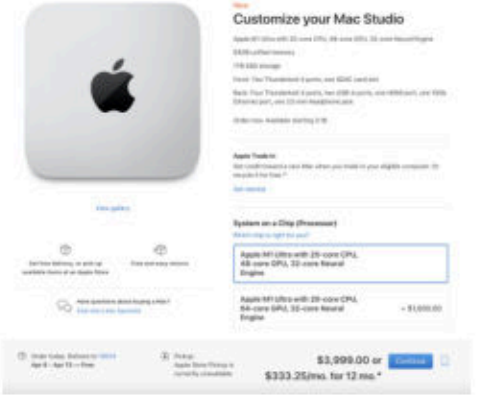
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- A pricing model outlines the rationale for how much a business should charge for providing its goods or services
- **Value based pricing**: Focuses on the perceived value of the product to the customer
- **Cost based pricing**: Focuses on the cost of producing and delivering the product
- **Competitive pricing**: Focuses on the prices set by competitors
- **Psychological pricing**: Leverages psychological principles to influence customer perception
- **Dynamic pricing**: Involves adjusting prices based on real-time factors
- Other strategies

Value Based Pricing

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- **Value based pricing** model sets prices based on how customers perceive the value of a product or service, rather than on production costs or competitor prices
    - Value based pricing is based on the idea that a product costs as much as customers are **willing to pay (WTP)** for it
    - Value based pricing is often used for unique, luxury, or highly specialized products
- **Premium pricing**: Setting a high price to signal exclusivity, high quality, or strong brand value, allowing the company to have high margins. Best suited for luxury brands, products with unique features or significant competitive advantages – For example, Apple products, Louis Vuitton products
- **Skimming pricing**: Launching at a high initial price and gradually lowering it over time to better capture the market. Best suited for products with continuous innovation that allows the company to drop the prices of earlier iterations which are targeted at early adopters – For example, most Flagship smartphones or gaming consoles, like iPhones and Xboxes



Mac Studio follows premium pricing

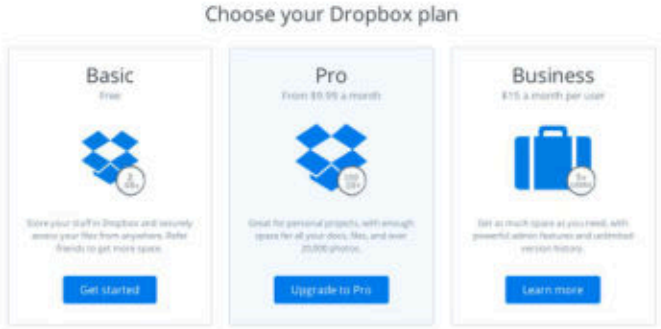


iPhone la

Value Based Pricing

Airtribe

- **Good-Better-Best pricing**: Offering multiple versions of a product at different price points with varying features or usage limits. Best suited for tiered subscriptions where customer segments have different needs and WTP – For example, most B2B SaaS application
- **Value added pricing**: Starting with a base product and adding extra features, services, or benefits to justify a higher price for a "premium" version. Best suited for scenarios where additional value can be demonstrated with the addon – For example, extended warranties or priority customer support



Good better best pricing by Dropbox focused on different value



Airlines using valu

Cost based Pricing

Airtribe

- **Cost based pricing** sets prices for its products based on its production, manufacturing, and distribution costs
  - The company adds a markup percentage to the total cost to arrive at the selling price
  - Cost based pricing is well suited for products that are meant to be sold in high volume in a price sensitive market – For example, FMCG products
  - Cost based pricing does not consider the customer WTP and can therefore leave money on the table
- Also called **cost plus or markup pricing**, there are two main types of cost based pricing. Full-cost pricing considers all costs, while direct-cost pricing only considers variable costs
- **Full cost**: Considers all the landed costs – Ensures unit profitability
- **Direct cost**: Considers only the variable costs – Profitability is achieved only at scale

Cost Plus Pricing for One Bar of Soap

Material Cost	$0.50
Labor Cost	$1.00
Manufacturing Cost	$0.50
Total Costs	$2.00
Profit Margin (Total Costs + 200%)	$4.00
Selling Price (Total Costs + Profit Margin)	**$6.00**

Competitive Pricing

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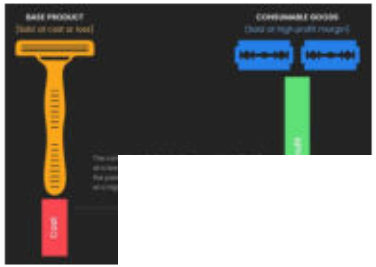
- **Competitive pricing model** sets prices for its products based on what its competitors are charging for similar products or services
    - Competitive pricing is well suited for products that are aimed at gaining market share – For example, for new entrants to a market
- **Penetration pricing**: Setting a low initial price to quickly gain new customers – For example, providing a first time discount coupon
- **Parity pricing**: Matching the price of the competitors. Best suited for markets with many similar products, where price is a major factor for customers – For example, all flagship smartphones are now similarly priced
- **Loss leader pricing**: Selling a product below cost to attract new customers or to sell additional products and services to those customers. Best suited for retailers or companies with a wide range of products – For example, grocery stores selling milk or eggs at a loss to attract new customers who may buy other products, or Amazon selling Kindle devices at near cost to drive e-book sales (razor and blade revenue model). Loss leader pricing may not work if customers don't use any of the business's other products and services. Prolonged use of loss leader pricing by companies with deep pockets is predatory and anti-competitive in nature



Discount on first purchase to penetrate the market



All Phone OEMs launching their flagship devices at similar price points



Selling razors at a loss while compatible blades make a profit

Psychological Pricing

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- **Psychological pricing** model sets prices for its products based on psychological principles of consumer behavior to influence customer perception
    - Psychological pricing is broadly used across the board but can become gimmicky if over done
- **Charm pricing**: Pricing at just-below numbers (for example, $9.99 instead of $10) to avoid rounding up to the next meaningful number making the customer perceive the price to be lower
- **Anchor pricing**: Anchoring the user on a higher priced option as a reference point to make other options seem more reasonable
- **Decoy pricing**: Introducing a less attractive alternative to make one of the other options more appealing. Decoy pricing works similarly to anchor pricing because it alters the customers frame of reference but with decoy pricing, the decoy alternative is almost never bought
- **Bundle pricing**: Offering multiple products together as a combo or a bundle at a discounted price. Products that are naturally used together are good candidates to be bundled together



Charm pricing



Anchor pricing on Pro



Medium is priced as a decoy to upsell Large



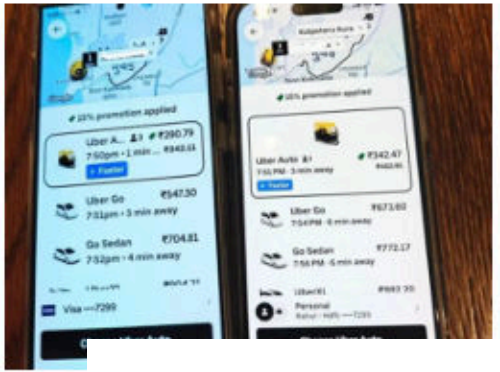
Dynamic Pricing

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- **Dynamic pricing** model adjusts prices of products in real time based on certain market factors
    - The goal is to maximize revenue by intelligently and dynamically adapting to the state of the market
    - Dynamic pricing is widely used, especially in cases where products have limited inventory
- **Surge pricing**: Increasing prices of the product during period of high demand (and vice versa) – For example, prices of Uber rides or airline tickets. Surge pricing is well suited for products that encounter lopsided demand supply curves
- **Personalized pricing**: Offering different prices to customers based on their individual characteristics – For example, charging more on the iOS app. Personalized pricing can be unethical and unfair



Surge pricing in Uber

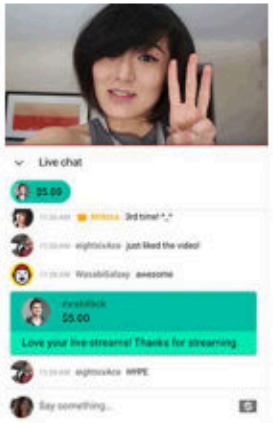


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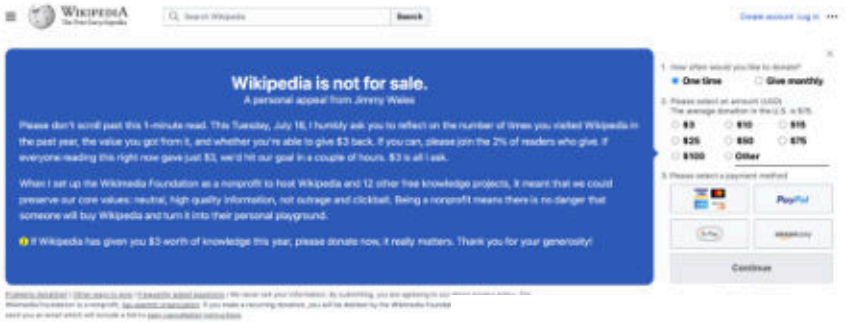
Other Pricing

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- **Pay-What-You-Want**
  - Allowing customers to choose how much they want to pay for a product or a service
  - This is an apt pricing model to support the crowdfunding or donation revenue model
  - This is also well suited to be a secondary revenue model for creators – For example, Superchat on YouTube or Support on Patreon



Pay what you want in Superchat on YouTube



Pay what you want f

Thank you

Release Management and Phased Launches

Roll out in stages so you can learn, control risk, and scale with confidence.

1



Internal alpha

- Validate core flow
- Fix major bugs

2



Limited beta

- Collect user feedback
- Check engagement

3



Early access

- Broaden audience
- Monitor performance

4



Full launch

- Scale channels
- Track business impact

What PMs monitor

- Quality
- Adoption
- Support load
- Launch metrics